

F

FROM WHITE ELEPHANT to a galloping beast. That has been the evolution of public sector undertakings (PSUs) in the past few years. Once seen to be slow and inefficient, PSUs have managed to stage a smart turnaround in recent years with initiatives and reform measures taken by the government bearing fruit. The government's focus on public expenditure in recent years has also put the spotlight on these firms and made them at least partly shoulder the responsibility of a revival in investment.

40 | Reflecting these changed dynamics, PSU stocks, too, have displayed robust profitability growth and strong market performance in the past couple of years. In the past 12 months, the BSE PSU index has outperformed the large-cap and broader equity benchmarks. The BSE PSU index has rallied 96% in the past year (as of July 31, 2024), while the benchmark BSE Sensex and BSE 500 have surged 23% and 37%, respectively. In fact, select PSU stocks have surged by up to 660% in this period.

Aamar Deo Singh, Senior Vice President of Research at brokerage Angel One, says the government's focus on infrastructure and manufacturing sectors has helped PSUs. "Special stress on railways and defence also helped many of the PSUs deliver solid performance and further, the priority given to 'Make in India' also aided in this stellar growth. Also, the thrust on infrastructure in terms of building highways, power [assets], ports, and airports have also helped the PSU pack," he says.

Investors, however, are concerned about the comparatively high valuations and future growth prospects because of factors such as volatile commodity prices, execution-related issues, global and domestic macro challenges, and doubts on the continuity of the government's focus amid a change in structure from single-party majority to a coalition at the centre. For instance, Himanshu Kohli, Co-founder of wealth management firm Client Associates, says the momentum in the PSU stocks will not continue as the focus now will be more on quality stocks that offer growth at a reasonable value.

BREAKING THE SHACKLES

Why were PSUs called white elephants? While such firms are major players in key sectors such as banking, energy, and defence, their performance was hit by macroeconomic and microeconomic conditions. As a result, many were considered a burden on the exchequer because of their piling losses and heavy dependence on government funding to remain operational.

Dhimant Kothari, Fund Manager at Invesco Mutual Fund, points out that between FY15 and FY20, India faced high fiscal deficit and challenges like demonetisation, a brief disruption and reset in the momentum of economic activities during the implementation of GST, the IL&FS crisis, and the pandemic. The financial space saw slow credit growth and rising credit costs, with a few public sector banks



“Defence exports had touched a record ₹21,083 crore in FY24. It was historic. Our target will be to export over ₹50,000 crore worth of defence equipment by FY29”

RAJNATH SINGH

UNION DEFENCE MINISTER, WHILE ASSUMING CHARGE FOR THE SECOND CONSECUTIVE TERM